Introduction to Managing Your Finances for TRAs

Trainer Diane West for Hammersmith & Fulham Council

Learning Outcomes for this session

To have a better understanding of financial management terms and how they apply to you and your TRA.

To be more confident in being able to manage the TRA finance and improve the knowledge on the committee.

The opportunity to ask questions and get clarification.

Overview of the terms we will cover today

- Income
- Expenditure
- Petty Cash
- Deposit
- Audit Trail
- Cash book
- Restricted and Unrestricted Money
- Accounting Year

Annual Statement

Dual Authorisation

Signatories

Projection

Budget

Reconciliation

Treasurers Report

Simple Accounting

The first steps of setting up

- Setting your financial year
- Appointing someone responsible for finance and get them some training if needed
- Setting a reporting regime to the committee
- Keeping simple accounts

Developing your Annual Budget

Starting point for good financial management is to estimate what you think you need for the next 12 months.

Understanding the level of funds coming into the group which is the income.

Ensure that your expenditure is within the levels of income that you have.

Developing your budget - headings

Income	2025
Donations	10
Hall Hire	1,000
Grants	500
Fees for Activities	150
Total	1,660

Expenditure	2025
Internet and mobile	100
Printing	100
Activities	1000
Insurance	300
Total	1,500

Income

Expenditure

- CAPITAL - One off larger expenditure or items e.g. Computer
- REVENUE or Running Costs
- Insurance
- Stationery or Printing
- Licenses – PRL Performing Rights License for use of DVD/Music
- Training for volunteers
- Volunteers Expenses (reimbursement of expenses)
- Committee meeting expenses e.g. Venue Hire

Accounting year

This term is used to measure one period against another that follow on one from another.

This is usually a 12-month period.

Most commonly, people use the Tax Year which runs from April to the end of March the following year.

For schools, they use the academic year of January to December.

For TRAs, many committees run the year from the AGM. However, this works when the AGM is the same time each year, with no gaps in between.

Setting up Financial Systems

You can manage finance in several ways:

•Manual receipts and payments

• Excel spreadsheets

Finance software:

QuickBooks; Xero or Money Minder

Online systems

Pros and Cons of …..

Which will be the best for you?

Consider:

Skill / IT levels of people in the TRA

Cost of any system

How information can be shared

How information can be stored

Recording Income - Cashbook

Date	Detail	Ref	Amount	Grant	Donation
20/1/2024	Grant from H&F Council RESTRICTED FUND	2205	£300	£300	
21/1/2024	Hall Hire Income UNRESTRICTED FUND	001	£60		£60
21/1/2024	BBQ Income	002	£10		£10
Total			£370	£300	£70

Recording Expenditure - Cashbook

Date	Detail and comment	Ref	Amount	Building	Printing
20/01/2024	Travis Perkins (locks)	Invoice 33	£65	£65	
21/01/2024	Happy Snaps (AGM)	Invoice5 5260	£17.50		£17.50
21/01/2024	Paint	No 7 DJ	£8.50	£8.50	
02/02/2024	FUNDAY FOOD	Inv 3345	£300		
Total			£391	£73.50	£17.50

What is Reconciliation?

This is where we are trying to get a snapshot of where we are with our accounts.

We take a look at the bank statement, take account of all our receipts of expenditure and tick them off and our income that has come in since we last did a reconciliation exercise.

It also tells us if people have cashed the cheques, or whether our payment to BT has gone though. It gives you the power to know where you stand at any one time and how much you owe or how much others owe you. It enables you to maintain control.

Steps of Reconciliation

Bank Balance at the beginning of the period
List of income
List of expenditure
Any cash in hand
Bank Balance at the end of the period

Reconciliation

For the period of September 2024

Bank Balance 1st September	**£2,056**
Income	
Fees for BBQ	**£200**
Income Total	**£200**
Expenditure	
Internet and Telephone	**£50**
Printing	**£ 6**
Total	**£56**
Bank Balance 30th September	**£2,000**

Petty Cash

The intention of having a float or Petty Cash system in place is to enable you to have a SMALL amount of money available for items of expenditure day to day.

This is often things like; tea/coffee/juice or refreshments for a meeting or to pay for emergency items such as when batteries run out etc.

It is not intended to be a significant pot of funding to spend on items that will need regular expenditure or repeat expenditure such as the caretaker or cleaner costs.

What is an audit trail

An audit trail can be either a paper or electronically based trail that provides documented history of a transaction. It allows an independent person to trace the financial data from the cashbook to the source document. It ensures transparency of transactions you make.

Key Internal Controls

- Banking Arrangements
- Signatories
- Authorisation levels (maximum spend)
- Dual Authorisation (two people to sign system and so you need more than two people as signatories on the bank mandate)

Dual Authorisation and Signatories

Having the ‘right Bank Account’.

Treasurer’s Account which enables there to be a minimum of two people to authorise a payment from the account.

This can be any two of the number of signatories you have.

This is known as dual authorisation.

We have been talking about doing SIMPLE accounts not ACCRUALS.

Treasurer Report to the committee

For the period of January 2024 to March 2024

Bank Balance ……..	**£2,056** 01/01/2024
Income	
H&F Council Grant	£350
Fees for Day Trip (£5 per place)	£200
Total	**£550**
Expenditure	
Internet and Telephone	£50
Postage and Printing	£6
Total	**£56**
Bank Balance ……..	**£2,550** 31/03/2024

Note: We have an outstanding cheque of £100 from December which has not been banked yet so have £2,450 available moving forward.

Annual Statement

These TRA accounts are for the year April to End of March 2024

Bank Balance at the beginning of your year **£2,056** 1/4/2023

Income

Grants	£ 1,350
Fees from activities	£ 778
Total	**£2,128**

Expenditure

Internet and Telephone	£ 500
Printing	£ 6
Insurance	£ 285
Cleaning of Hall	£ 856
Total	**£1,647**

Bank Balance 31st March 2024 **£2,537**

Cash in hand £34 Balance being carried forward: £2,571

Signed by Chair and approved by the committee on: Date Signed

Common mistakes…pitfalls

- Recycling income
- Misuse of Petty Cash
- No audit trail
- No second person to authorise
- Pre signed cheques
- No reconciliation